

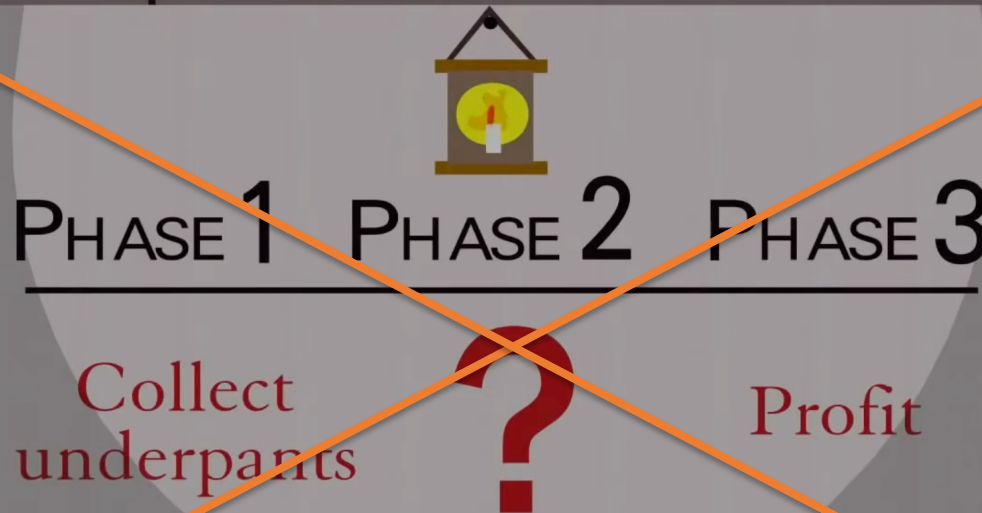


WIESŁAW PIETRUSZKIEWICZ

MODELS AND CONCEPTS

Optimistic e-commerce model

(South Park – Underpants Gnomes)



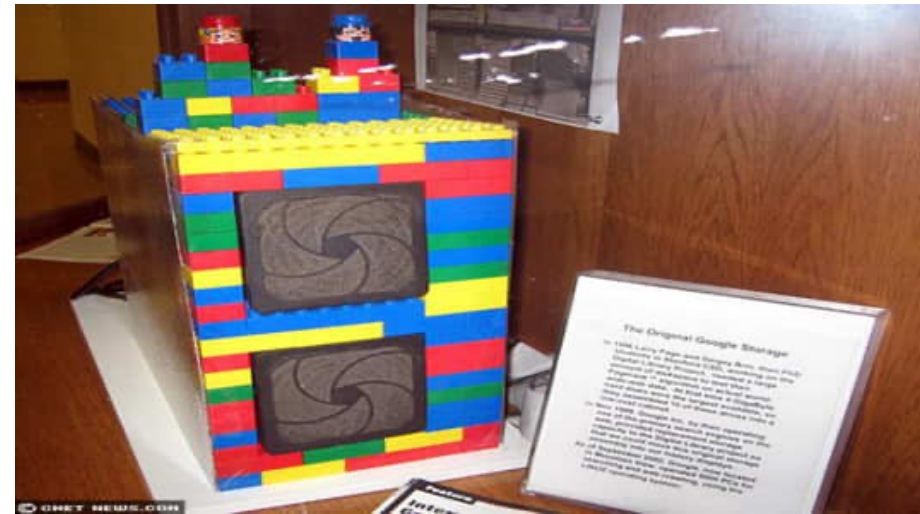
The business plan is crucial

- E-commerce is another type of business activity and should generate income
- Business plan defines company's:
 - Goals
 - Objectives
 - Ideas how to achieve them
- The technologies are applied to achieve business ideas!

The resources should follow the ideas

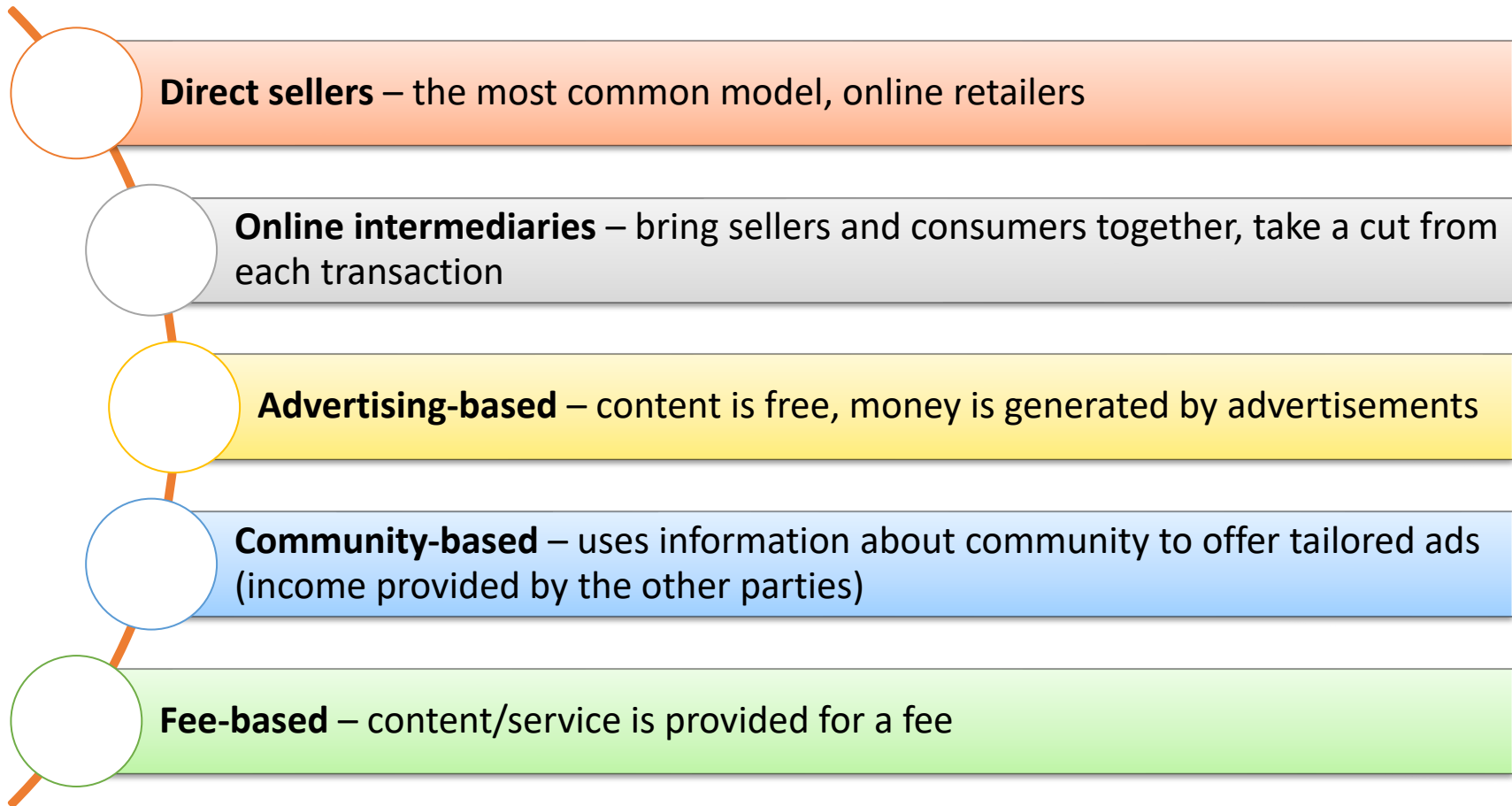


Source: CNBC



Source: Google

E-commerce income models #1



E-commerce and Online Marketing Technologies

Direct sellers

0800 368 9646 sales@misco.co.uk

MISCO Search

CRN CHANNEL AWARDS 2021 WINNER Reseller of the Year with £100m turnover Misco

£0 Excl VAT

All products Sustainable Technology Promotions Shop By Brand Configurators Solutions & Services Education Your Account

ICT SOLUTIONS FOR EDUCATIONAL ESTABLISHMENTS Visit us on STAND SA51 at **bett** London 23-25 March 2022

Improve your digitisation with the latest Epson Scanners

[View Range >](#)

EPSON EXCEED YOUR VISION

DICOTA Webcam PRO T1A Lenovo ThinkPad X1 Poly Sync 20+ for Samsung Lenovo V15 | 15.6" | Core Epson EB-X49 3LCD

E-commerce Models and Concepts

Direct sellers

- The most common source of turnover used in e-commerce
- First wave of e-commerce – Transformed shops into web-shops
- Turnover is directly provided by the buyers
- Typical trade factors (e.g. seasonality, fashion) effect turnover

Online intermediaries

Hi! [Sign in](#) or [register](#) Daily Deals Brand Outlet Help & Contact Sell Watchlist ▾ My eBay ▾  

 Shop by category ▾ All Categories ▾ [Search](#) [Advanced](#)

[Home](#) [Saved](#) [Motors](#) [Electronics](#) [Collectibles & Art](#) [Home & Garden](#) [Clothing & Accessories](#) [Toys](#) [Sporting Goods](#) [Business & Industrial](#) [Jewelry & Watches](#) [eBay Refurbished](#)

Entertain more with up to 50% off

Dine in style with new furniture, dishware, and more.

[Start hosting →](#)



eBay stands with Ukraine

Help us get vital support to those impacted by the crisis.

[How to donate →](#)

Let the games begin

Save up to 60% on top



Online intermediaries

- Turnover is a cut from transactions made by the others
- Difficult to apply on buyers
- Usually hidden in the price and paid by sellers
- Some save cost by removal of intermediaries
- The final stage of transaction can be made somewhere else

Advertising-based

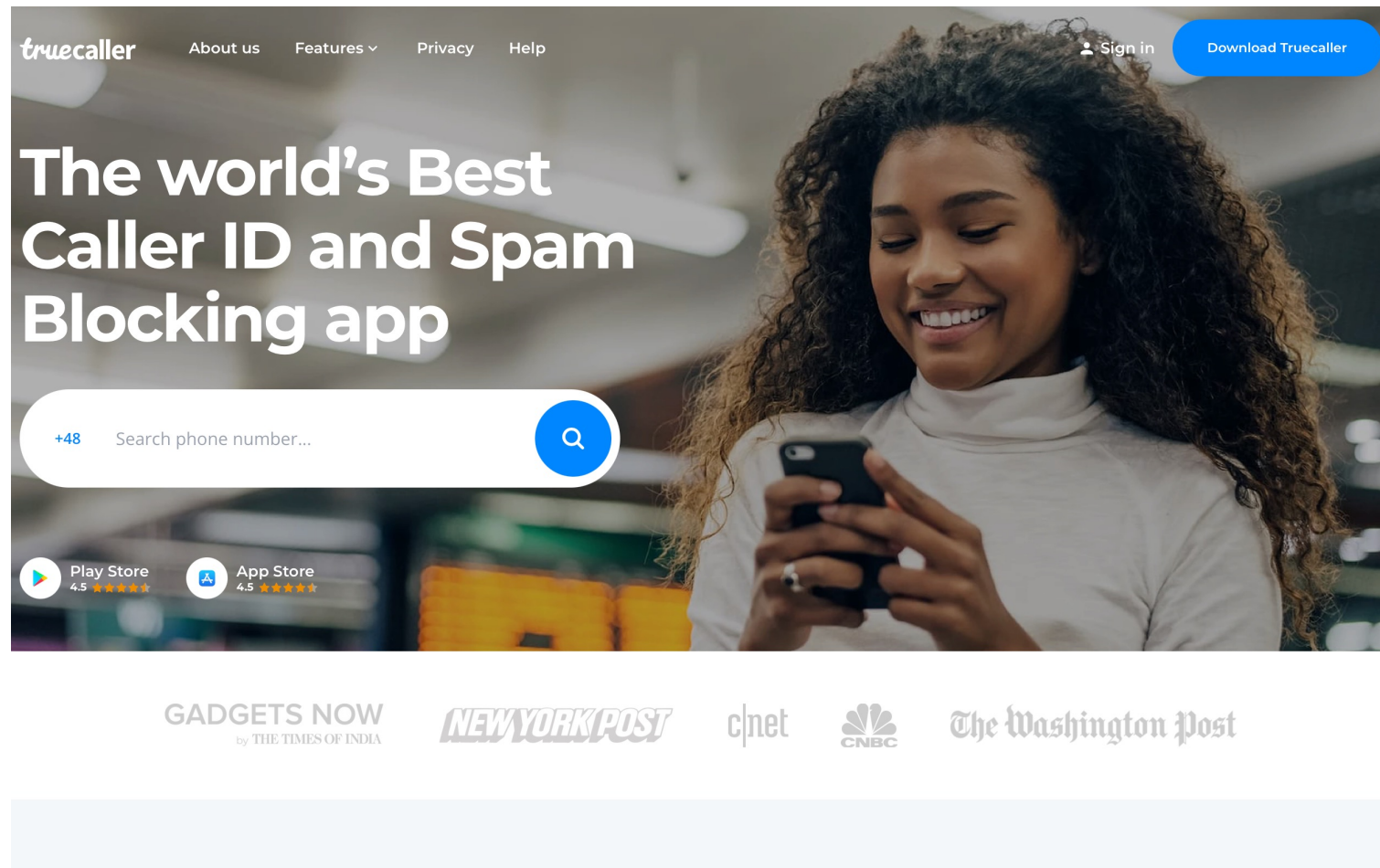
The screenshot displays the Onet.pl homepage with several advertising elements:

- Top Banner:** Features a green banner for "allegro" and "WIOSNA wybór kwitnie" (Spring choice is blooming) with a sun icon. To the right is a "ROZWIN" (Expand) button.
- Navigation Bar:** Includes the Onet logo, a search bar with "Szukaj" (Search) and "Google" buttons, and links for "SYMPATIA", "GRY" (Games), "VOD", "OGŁOSZENIA" (Advertisements), "E-MAIL", and a grid icon.
- Category Tabs:** A row of tabs for "WIADOMOŚCI" (News), "SPORT", "BIZNES", "REGIONALNE", "KULTURA", "VIDEO", "MOTORYZACJA" (Motorsport), "NIERUCHOMOŚCI" (Real Estate), and a dropdown for "DŁIA UKRAJNЦІВ" (For Ukrainians).
- Weather and Services:** A section showing "Warszawa 1°" (Warsaw 1°), "Stan powietrza" (Air quality) as "Dobry" (Good), and "Jutro 14°" (Tomorrow 14°). It also includes icons for "Prognoza smogowa" (Smog forecast), "Program TV", "Horoskop" (Horoscope), "Oferty" (Offers), and "Jak dojadę" (How to get there).
- Prime Video Advertisement:** A large banner for the Amazon Prime Video movie "Głębia Woda" (Deep Water) starring Ben Affleck and Ana de Armas. The text reads: "prime video", "BEN AFFLECK", "ANA DE ARMAS", "GŁĘBIA WODA", "HISTORIA MIŁOŚNA ZAWSZE MA DRUGIE DNO" (A love story always has a second bottom), and "OBEJRZYJ TERAZ" (Watch now).
- War-related News Section:** A yellow banner with the text "25. DZIEŃ WOJNY" (25th day of war) and "POMOC DLA UKRAINY – WPŁAĆ!" (Help for Ukraine – Donate!). Below this are three images: soldiers in a field, two men in suits talking, and a crowd of people holding red flags.

Advertising-based

- Typical source of turnover for news or service providers
- Introduced especially when strong a competition exists (offering “free” services)
- Sometimes used as an additional source of turnover (e.g. ads on webshops)

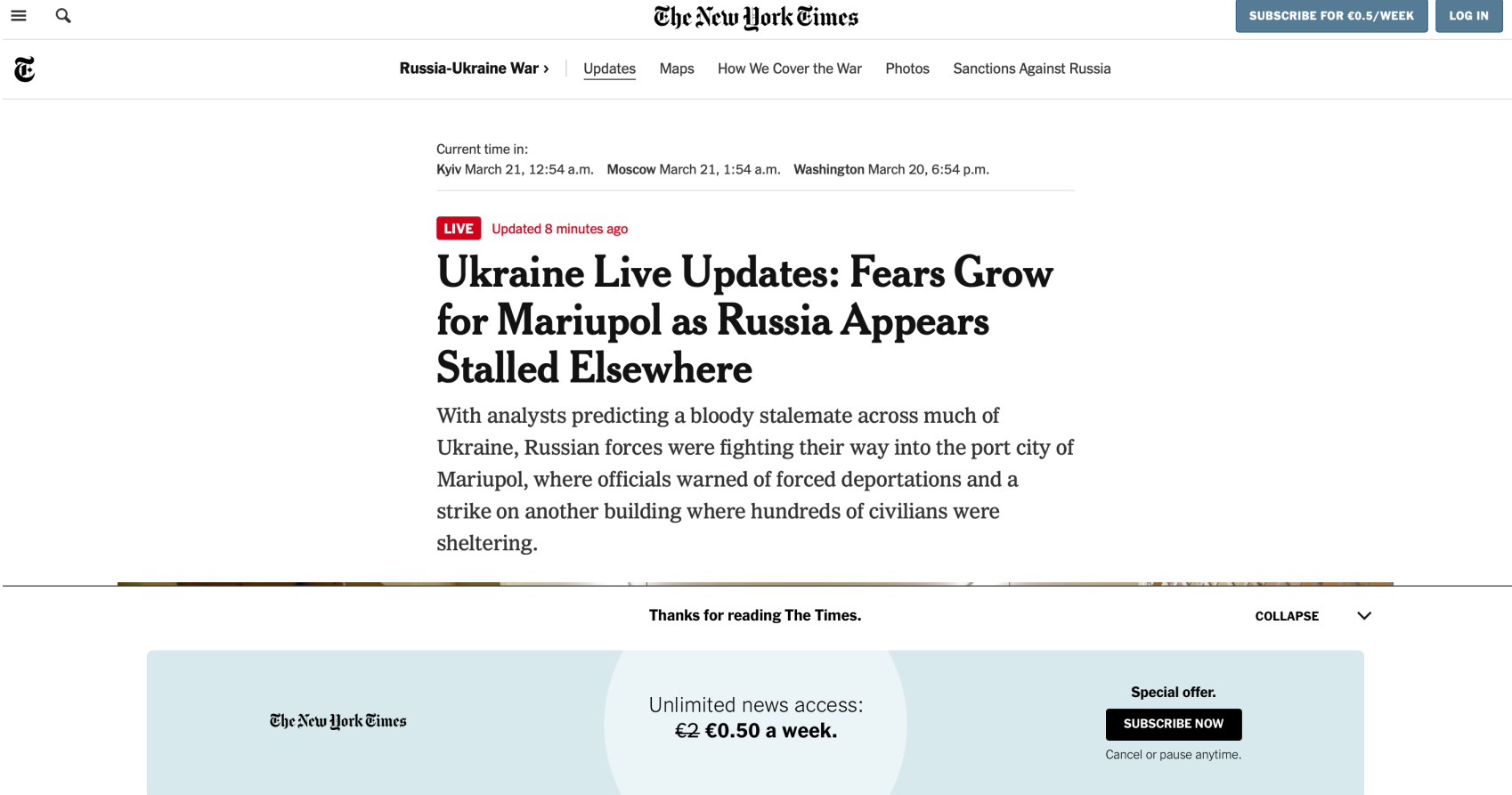
Community-based



Community-based

- Info about customers could have a significant advertising value
- The social phenomenon – people accept it until being told how it works (people believe in “*a free lunch*”)
- The market is difficult – communities are moving towards the global platforms, leaving other websites behind

Fee-based



The screenshot displays the top section of The New York Times website. At the top, there is a navigation bar with a menu icon, a search icon, the newspaper's name "The New York Times", and buttons for "SUBSCRIBE FOR €0.5/WEEK" and "LOG IN". Below this, a secondary navigation bar features a "Russia-Ukraine War" link, an "Updates" link (which is underlined), and other links like "Maps", "How We Cover the War", "Photos", and "Sanctions Against Russia".

The main content area shows a "LIVE" badge with the text "Updated 8 minutes ago". The headline reads "Ukraine Live Updates: Fears Grow for Mariupol as Russia Appears Stalled Elsewhere". Below the headline, a paragraph states: "With analysts predicting a bloody stalemate across much of Ukraine, Russian forces were fighting their way into the port city of Mariupol, where officials warned of forced deportations and a strike on another building where hundreds of civilians were sheltering."

At the bottom of the page, there is a footer area with the text "Thanks for reading The Times." and a "COLLAPSE" button. Below this is a large light blue banner containing the "The New York Times" logo, the text "Unlimited news access: €2 €0.50 a week.", a "Special offer." label, a "SUBSCRIBE NOW" button, and the text "Cancel or pause anytime."

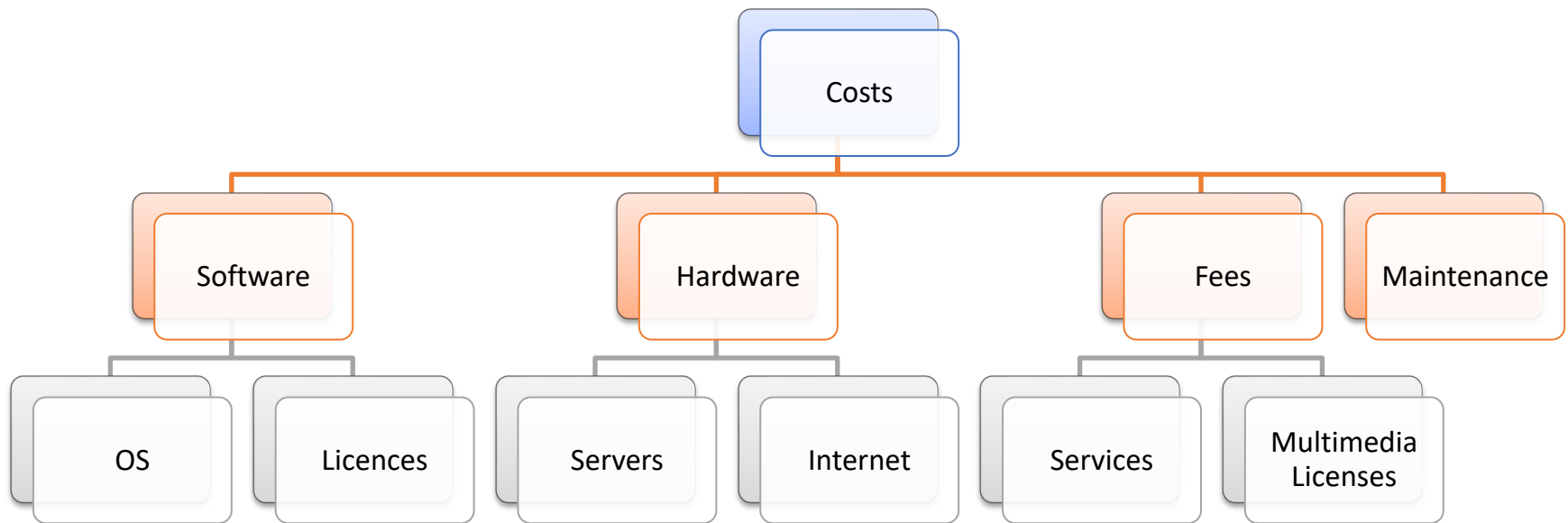
Fee-based

- The obvious model for customers
- Fee-based services and be premium ones, with free ones offered to gain new customers
- Free customers (30/14/3 Shopify case) must turn into a paid one, or generate turnover by any other means

E-commerce best income model

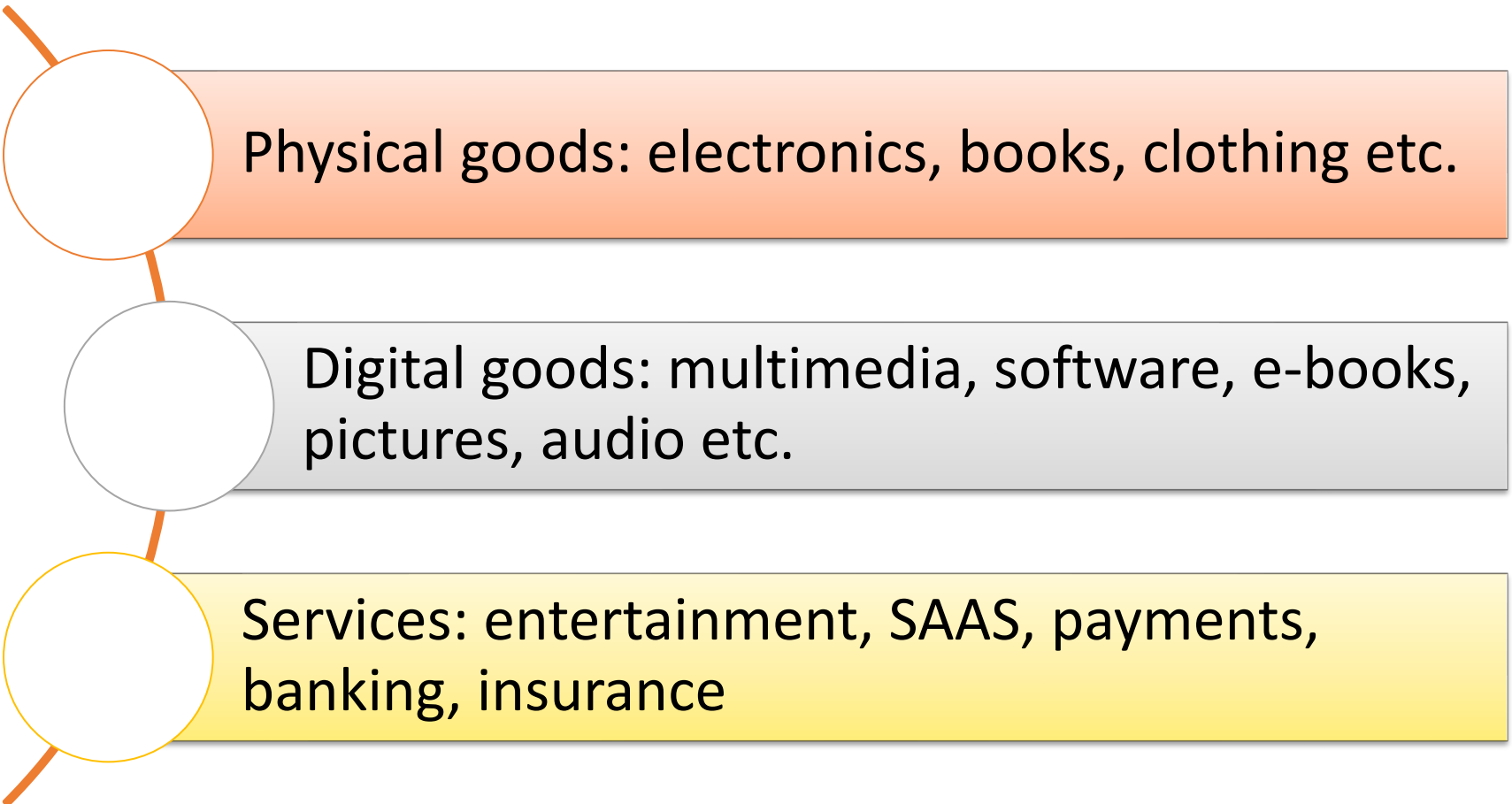
- In overall - there is no the best model
- Evaluate company and business environment (market, competitors, clients etc.)
- You can create and apply hybrid models
- Offer differentiated services – e.g. levels of membership (including free ones)
- Try to use multiple streams – diversification + a chance to increase stream on money

E-commerce-specific costs



GOODS & DELIVERY FRAMEWORKS

Types of e-commerce goods



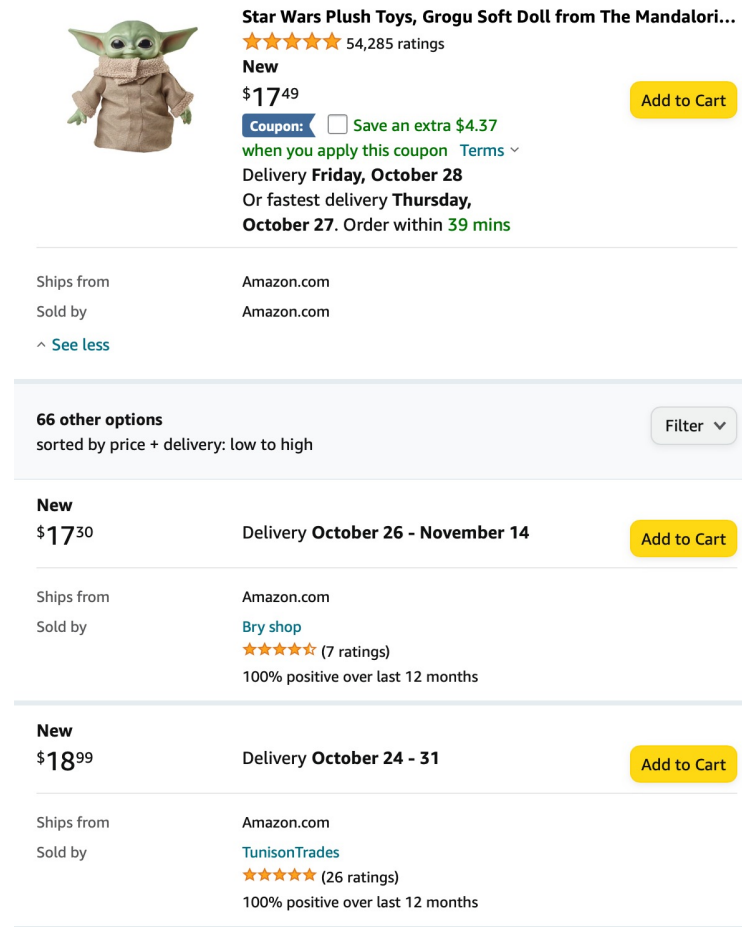
Physical goods: electronics, books, clothing etc.

Digital goods: multimedia, software, e-books, pictures, audio etc.

Services: entertainment, SAAS, payments, banking, insurance

Delivery frameworks – Traditional

- Sell something you have
- If you don't have it – restock it (delay)
- Delivery is fulfilled by a specialised company (courier, postal service)
- In some scenarios - local delivery is possible



The screenshot shows an Amazon product listing for a Grogu plush toy. The main listing is for a 'New' item priced at \$17.49, with 54,285 ratings and a 4.5-star average. It includes a coupon for an extra \$4.37 off and a delivery date of Friday, October 28. Below this, there are two other listings for the same product, both priced at \$18.99, with delivery dates of October 26-14 and October 24-31. Each listing shows the seller's name, ratings, and a '100% positive over last 12 months' badge.

Star Wars Plush Toys, Grogu Soft Doll from The Mandalorian...
★★★★★ 54,285 ratings
New
\$17.49
Coupon: ☐ Save an extra \$4.37 when you apply this coupon [Terms](#) ▼
Delivery **Friday, October 28**
Or fastest delivery **Thursday, October 27**. Order within **39 mins**

Ships from Amazon.com
Sold by Amazon.com
[^ See less](#)

66 other options
sorted by price + delivery: low to high [Filter](#) ▼

New	Delivery	Add to Cart
\$17.30	October 26 - November 14	Add to Cart
\$18.99	October 24 - 31	Add to Cart

Ships from Amazon.com
Sold by [Bry shop](#)
★★★★★ (7 ratings)
100% positive over last 12 months

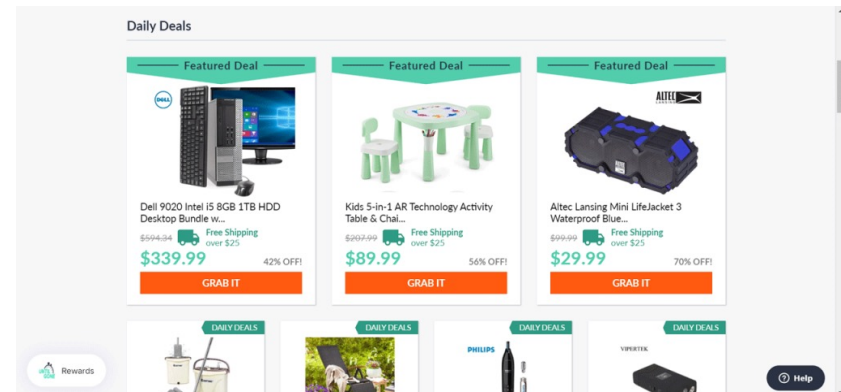
Ships from Amazon.com
Sold by [TunisonTrades](#)
★★★★★ (26 ratings)
100% positive over last 12 months

Delivery frameworks – Traditional

- Large stocks increase costs
- Lower stocks increase avg. waiting time
- Value of stocked items can decrease (fashion, expiration date)
- If you cannot restock items, you don't have these items to sell

Delivery frameworks – Drop shipping

- Sell something you don't have
- Forward order to actual seller
- Focus on customer acquisition
- Hope that order will be fulfilled (3rd party dependency)

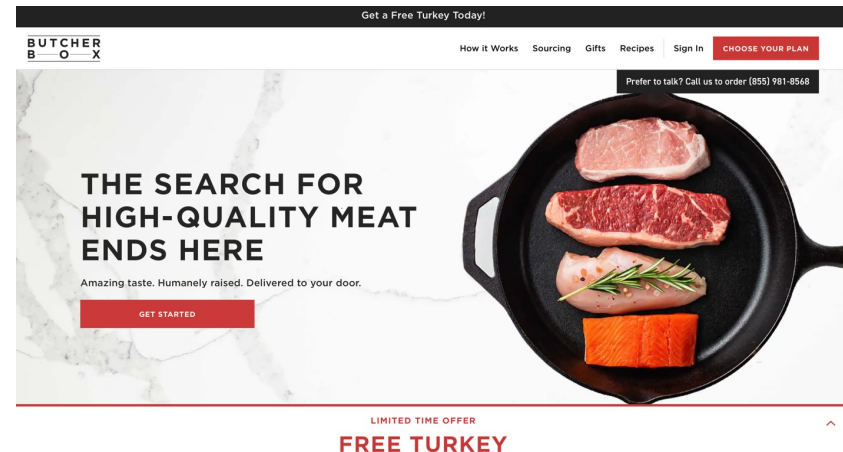


Delivery frameworks – Drop shipping

- No stocking cost
- You depend on other companies
- Limited possibility to shape prices (significantly depending on other companies)
- No risk of unsold items
- Flexible cooperation with different partners

DF - Subscriptions services

- Keep a long-term relation with client
- Deliver at consistent, pre-determined intervals
- Not suitable for every item
- Preferred for unique / expensive products

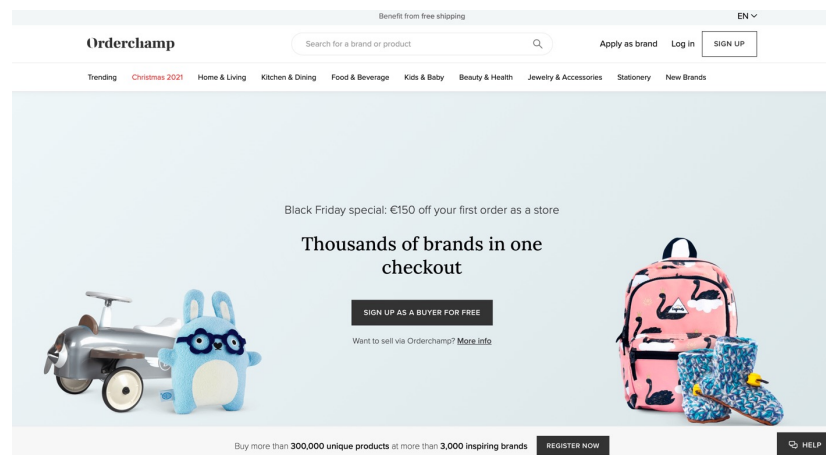


DF - Subscriptions services

- Periodic sales and long-lasting relation with customers
- More predictable (stable) turnover
- Entry barriers for some customers (doing occasional shopping – not willing to subscribe)
- Limited flexibility on both sides
- Usually special price and the beginning

DF - Wholesaling

- More often found in B2B sector
- Client resells items
- Minimum order amount
- Often wholesalers are located in specific regions



DF - Wholesaling

- Similar to “the traditional” framework
- Difference in customers’ size
- More balanced economical strength of both parties (compared to retail sales)
- Business customers prefer stable relations (costs of partner replacement)
- More difficult acquisition of new customers (they will prefer existing partners)

DF – Private labelling

- Find a manufacturer
- Order custom products
- Sell under your own brand
- Might be a low-cost option to start operating on a market
- Manufacturer receives a full specification



DF – Private labelling

- No need to have production environment
- Typical for an advanced industry – costs of equipment split onto many products
- Design, production and sales are separated
- Good idea to create own brands
- Significant outsourcing risks e.g. product quality, timely delivery, but also flexibility in technology or establishing partnership

DF – White labelling

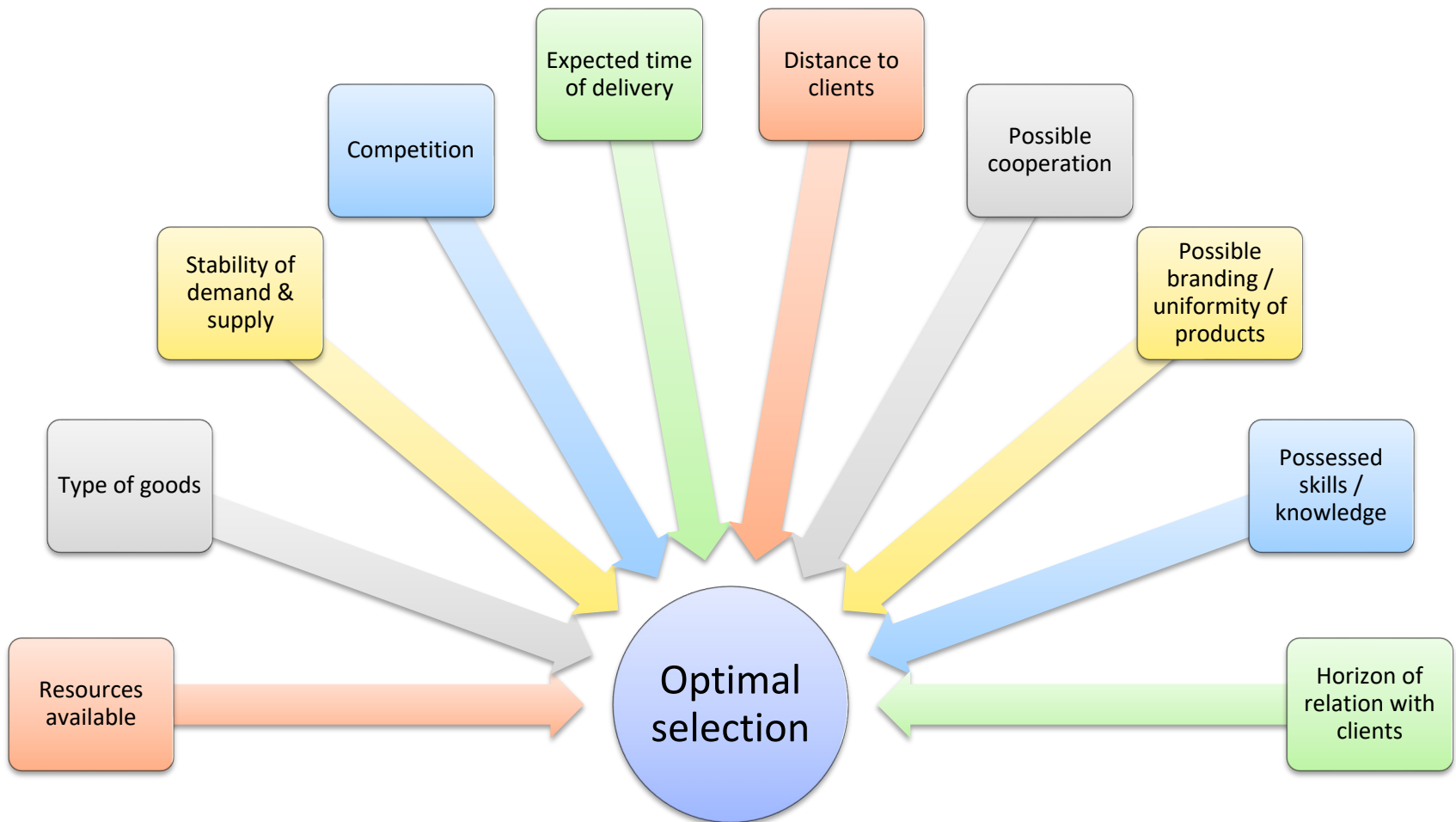
- Similar to Private Labelling
- Ordered from a manufacturer
- Manufacturer knows production secrets
- Manufacturer “puts a label” on product
- You sell it

The screenshot displays the navcomm website interface. At the top, there's a header with the navcomm logo, contact information, and language/currency options. Below the header is a search bar and a navigation menu with categories like RADIOS, HEADSETS, LARYNGOPHONES, HELMETS, INTERCOMS, NAVIGATION, ANTENNAS, ADAPTORS, ACCESSORIES, and SETS. The main content area features a product page for a 'Deluxe aviation headset with ANR and Bluetooth'. The product image shows a yellow and black headset. The description mentions 'Reference: NC-1000ABT' and 'Condition: New product'. The price is listed as '1 899,00 zł tax incl.'. There's a 'Quantity' selector set to 1 and a 'Customize Product' button. The bottom of the page shows a breadcrumb trail and a list of related products.

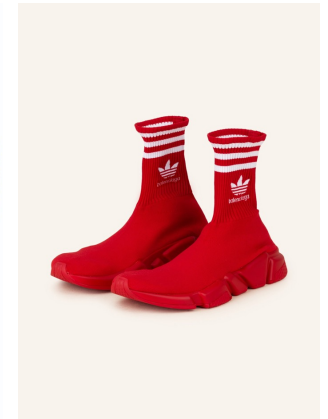
DF – White labelling

- An easier version of private labelling – advanced design skills aren't necessary
- Even more increased outsourcing risks
- Often found for brands created by influencers – relabelled items
- You cannot compete with the design (controlled by another company), but with the business value

DF – Selection factors



Specific products



Unique (personalised) products - Idea

- EC allows one to sell products non-existent at the time of ordering
- Products can be produced or customised
- From client's perspective turns service into a product – if creation stage is quick enough and easy to follow
- The webstore is used as storefront, gathering information necessary to customise items

Unique products – Example #1

The screenshot shows an Etsy product listing for a 'Kids drawing on T-Shirt, personalised Unisex organic Shirt, printed design' by the shop 'kiwiundknoedel'. The product is a light grey t-shirt with a small, dark graphic on the chest. The main image shows a man wearing the t-shirt. To the left of the main image is a vertical strip of smaller images showing different design options. The product price is €31.49, marked down from €34.99 (10% off). The shop is a local seller in Germany, and the item is handmade. The page includes a search bar at the top, a navigation menu, and a 'Sort by: Suggested' dropdown at the bottom.

Etsy Categories Search for anything Sign in

Homepage > Clothing > Gender-Neutral Adult Clothing > Tops & Tees > T-shirts

← Back to search results

Only 4 left in 5 carts
€31.49 ~~€34.99~~
10% off sale for a limited time
Local taxes included (where applicable)
Kids drawing on T-Shirt, personalised Unisex organic Shirt, printed design
kiwiundknoedel ★★★★★ Local seller
✓ Arrives soon! Get it by Oct 21-27 if you order today

Size ★
Select an option

Primary color ★
Select a color

Add to cart

Item details
Handmade
Ships from a small business in Germany
Materials: Bio Baumwolle, Flex Folie

More designs on Instagram:
<https://www.instagram.com/kiwiundknoedel/>

Organic cotton t-shirt with your favorite designs. Can it get any more personal and individual? Whether it's a birthday gift, Father's Day, Mother's Day, or just for yourself, this shirt always comes from the heart, and your loved ones are even involved. No other t-shirt in the world is like yours.

118 reviews ★★★★★

Reviews for this item 111 Reviews for this shop 118

Sort by: Suggested

Learn more about this item

Organic cotton t-shirt with your favorite designs. Can it get any more personal and individual? Whether it's a birthday gift, Father's Day, Mother's Day, or just for yourself, this shirt always comes from the heart, and your loved ones are even involved. No other t-shirt in the world is like yours.

And here's how it works:

Send me a photo of your desired design here on Etsy or to [kiwiundknoedel \[!at\] gmail.com](mailto:kiwiundknoedel[at]gmail.com). We will then check if and how we can implement your design. You will always receive a preview of how it could look like.

"Approximately" because not every drawing can be translated exactly. You place your order normally here on Etsy. Simply select the size and color of the t-shirt after we have discussed the design and placement. Finally, you will receive a tracking number for your shipment.

E-commerce and Online Marketing Technologies

amazon merch on demand

Unique products – Example #2

[Resources](#) | [Sign in](#)

Become a Merch on Demand content creator

Share your designs with the world by creating graphic tees, accessories, and more, all printed on demand. We handle your printing and shipping, so you can design while we deliver.



Upload your artwork



Suggest a list price



We print what's sold



Fast shipping with
Prime



Earn monthly royalties

How does it work?

Simply upload your artwork, choose a product type and color, and add a product description. We'll create a product page on Amazon and when customers buy your product, we'll handle production, shipping, and customer service — all with no upfront costs.

Want to join our community of content creators?



Sign up with your existing Amazon account to get started. New to Amazon? Create an account during the sign up process.

Amazon.co.jp customers: create a new account for Amazon.com

[Sign up](#)

Amazon Merch on Demand Content Creators include everyone from independent designers to big brands.

Disney

MARVEL

CN
CARTOON NETWORK

FORTNITE

[adult swim]

OVERWATCH

Dr. Seuss

UNIVERSAL
A COMCAST COMPANY

E-commerce Models and Concepts

Unique products – Example #3 (Machine-based Translation)

Google Translate Polish - detected → English Translation

FRONTY.shop HOME TYPES OF FRONTS ACCESSORIES SAMPLES CALCULATE PRICE ONLINE FOR THE ARCHITECT FAQ CONTACT

FRONTY
inne niż w
Stwórz niepowtarzalne meble, dzięki
kie.
św na wymiar.

- OPENWORK
- WOODEN
- VENEERED
- MILLED
- SMOOTH
- RIBBED
- 3D
- RATTAN
- ALUMINUM FRAME
- RAW
- MOLDING



Do you want to ask about something?

Unique products

Pros

- Always “full” stock
- No inventory risk
- An individual approach to customer’s needs
- No (low) frozen capital
- Good for creative vendors
- Easy customisation for customers

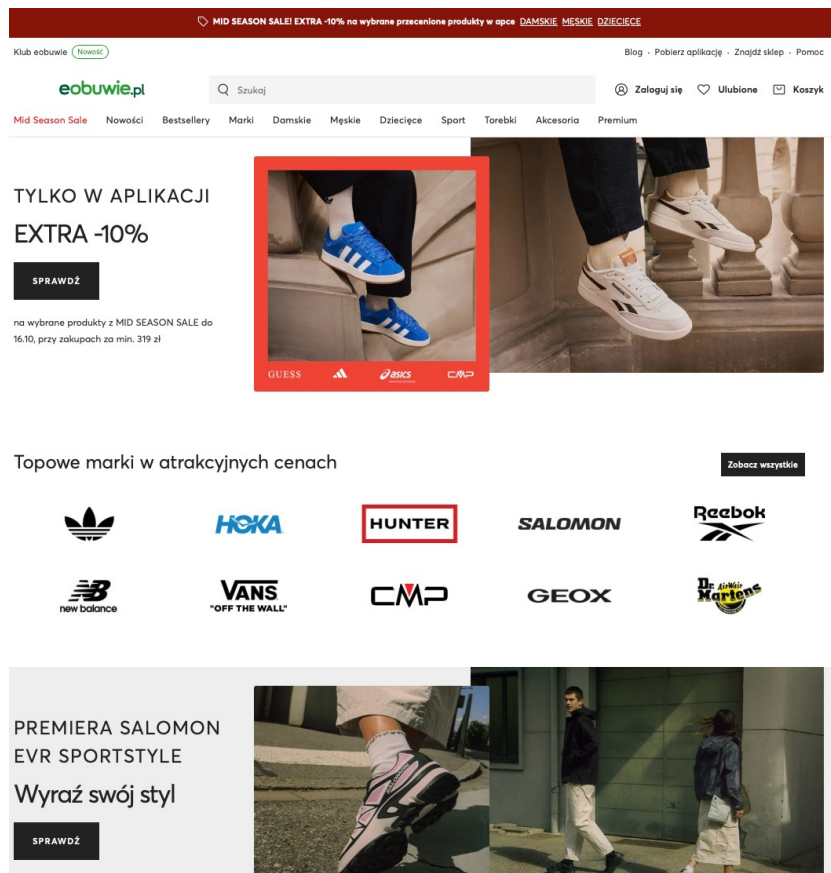
Cons

- Needs production skills
- More complex order processing
- More complex software
- Risk of faulty orders
- *Too-creative or beyond-standards* orders
- Materials/machines required

How to choose a business model

- Understand your customer:
 - Who are they?
 - What are their habits and behaviours?
- Have a vision of your value proposition:
 - Why are you different?
 - What to you offer?
 - What are your weak spots?
 - What are your strengths?

eobuwie.pl



1996

- Traditional footwear shops (family business)

2006

- eobuwie.pl founded (10.000 zł of equity)

2013

- First foreign website (Czechia)

2016

- CCC acquired 75% shares for 230.000.000 zł)

2018

- First traditional shop for eobuwie.pl brand

2019

- Modivo.pl platform & further international expansion

1000\$ for a jar 🤨



Summary

- The business model is an essential piece of E-commerce venture
- There are a few major models
- It is possible to outsource its several parts (mainly advanced IT services)
- Offered good/services will not sell by themselves – online marketing is a key

TILL NEXT LECTURE